CASCADIA ANALYTICS

Karman Holdings Inc.

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A Business Accelerating Into a Price That Already Assumes More

Analyst: Justin Wen | October 26, 2026

We rate Karman Holdings Hold with valuation concerns. The business is accelerating on every filed measure we track, yet the market price sits above every scenario in our audited model, including the realistic Bull case. Trailing revenue reached $589.55 million with growth of 50.23 percent, backlog reached a record $1,322.124 million at June 30, 2026, and management raised full year 2026 guidance on August 6, 2026. None of that changes the valuation arithmetic. Our Base target is $23.76, our Bull target is $32.65, and our Bear target is $10.49, all measured against a reference price of $36.65 from the Friday October 23, 2026 close. Our blended target is $22.67, which is 38.2 percent below the reference price.

HOLD	$22.67	-38.2%	$36.65
Hold, Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The market is not doubting that Karman can grow. The market is pricing growth faster than even our Bull case delivers, at margins that must hold near peak levels forever. That is a demanding path for a company that burned cash on a trailing basis, and it is why a Hold grounded in valuation concern is the honest rating for a business we otherwise admire.

Executive summary

Karman Holdings supplies precision engineered components for space and defense programmes, where revenue arrives through contracts, purchase orders and long term agreements rather than through spot sales. That contract structure is the key to understanding both the opportunity and the risk in this note. It gives Karman unusual visibility, since backlog and remaining performance obligations let us see contracted work before it becomes revenue, and it also absorbs working capital as the company grows, since contract assets build before customers are invoiced. Both forces are visible in the latest filing, and both shape our scenarios.

The recent record is strong in the places that matter most for a growth company. Second quarter 2026 revenue was $182.063 million, up 58.2 percent from the same quarter a year earlier, with a gross margin of 43.0 percent and an operating margin of 19.1 percent. Trailing twelve month revenue to June 30, 2026 was $589.552 million, up 50.23 percent, with a gross margin of 41.67 percent, an operating margin of 16.82 percent and a net margin of 6.31 percent. Backlog reached $1,322.124 million at June 30, 2026, which the second quarter press release characterised as a record and as up 65 percent from the end of fiscal 2025, with second quarter bookings of nearly $500 million. Remaining performance obligations were $703.9 million at the same date, with 49.6 percent expected in the remainder of 2026 and 23.3 percent expected in 2027. Management raised full year 2026 guidance on August 6, 2026 to revenue of $730 million to $745 million and adjusted EBITDA of $215.0 million to $222.5 million.

The balance sheet and the cash conversion record are the counterweight to that operating strength. At June 30, 2026, cash was $51.741 million, term note debt was $756.937 million and finance lease liabilities were $102.139 million, giving bridge net debt of $807.335 million. Trailing operating cash flow was $5.861 million against capital expenditure of $33.532 million, so trailing free cash flow was negative $27.671 million. The first half of 2026 alone produced operating cash use of $2.975 million and capital expenditure of $21.865 million. Management guided on the second quarter call to second half free cash flow of $15 million to $20 million, which would mark a clear turn in cash conversion if it is delivered, and we treat that call remark as a test to watch rather than as a reported result. The balance sheet also predates the Walker Precision acquisition, which closed on August 28, 2026 for about $94 million in cash funded with debt, so filed net debt understates the current position by roughly $100 million, or about $0.75 per share, before any Walker earnings contribution. We have not adjusted our published targets for that amount, because no third quarter filing exists yet to support an exact figure, and we disclose the limitation in full later in this note.

Our valuation work covers five forecast years, fiscal 2027 through fiscal 2031, anchored on fiscal 2026 estimated revenue of $737.5 million, which is the midpoint of raised guidance and excludes Walker. The Base case reaches fiscal 2031 revenue of $1,750.4 million, the Bull case reaches $2,109.8 million and the Bear case reaches $1,171.6 million. Even the Bull case, which assumes the backlog converts at pace, capacity expands and margins reach 23.0 percent, produces a target of $32.65, which is 10.9 percent below the reference price. The market, by

contrast, prices a uniform revenue growth rate of 29.2 percent a year to fiscal 2031 revenue of about $2,658 million at the reference price, holding our Base margins. That implied path sits above even the Bull case growth rate of 23.4 percent. We therefore hold the shares on valuation grounds while the business accelerates, and we revisit the rating at the third quarter print on Thursday November 5, 2026 and when the Walker debt position is filed.

$589.55M	50.23%	41.67%	16.82%	$1,322.1M	$807.3M
TTM REVENUE	TTM REVENUE GROWTH	TTM GROSS MARGIN	TTM OPERATING MARGIN	BACKLOG AT JUNE 30, 2026	BRIDGE NET DEBT

Trailing figures cover the four quarters from the third quarter of 2025 through the second quarter of 2026, computed from the Form 10-Q for the period ended June 30, 2026. Bridge net debt is term note debt plus finance leases less cash, at June 30, 2026, before Walker.

The bull case

Our Bull case is a realistic operating success story, not a consensus extrapolation, and it still does not reach the reference price. Bull revenue grows 35 percent in fiscal 2027, then 28 percent, 22 percent, 18 percent and 15 percent through fiscal 2031, for a compound growth rate of 23.4 percent and fiscal 2031 revenue of $2,109.8 million. Operating margins rise from 19.0 percent to 23.0 percent across the same period. Those margins stay below the 25.18 percent trailing operating margin of FTAI Aviation, our richest peer on that measure, and the growth path is anchored on contracted work rather than on hope, since backlog of $1,322.124 million is 1.79 times fiscal 2026 estimated revenue of $737.5 million and remaining performance obligations of $703.9 million already cover much of the near term. Second quarter bookings of nearly $500 million and the capacity expansion visible in trailing capital expenditure of $33.532 million support the view that Karman can convert that backlog at pace.

The Bull target of $32.65 also rests on a discount rate we did not lower to flatter the outcome. Bull shares the same live discount rate structure as the other scenarios, with a beta that decays linearly from 2.397 toward the mature peer Moog at 0.979 and a terminal growth rate of 3.0 percent. We did not cut the discount rate for the Bull case, and we did not extend terminal growth beyond the house cap of 3.0 percent. On those honest terms, a company that compounds revenue at 23.4 percent for five years and expands its operating margin to 23.0 percent is worth $32.65 a share, which is 10.9 percent below the $36.65 reference price. The Bull case therefore tells investors something important about the price rather than about the business. The business can execute superbly and the shares can still be overvalued at the reference price, because the price already assumes more than superb execution.

What has to go right for Bull is demanding but observable. Backlog must convert without the working capital absorption of the first half of 2026 repeating at the filed incremental rate, margins must expand from the trailing 16.82 percent through the second quarter level of 19.1 percent toward 23.0 percent, and second half free cash flow must land in the guided range of $15 million to $20 million as a first sign that growth is funding itself. If those markers arrive, Bull

becomes the live case and the debate moves to whether the terminal margin of 23.0 percent can be held indefinitely, which is the single most optimistic feature of the Bull terminal value. If they do not arrive, the market path looks more demanding still, and the distance between the Bull target and the reference price widens rather than narrows.

The bear case

Our Bear case is a conservative outcome, not a distress case, and it is worth $10.49 a share, which is 71.4 percent below the reference price. Bear revenue grows 18 percent in fiscal 2027, then 12 percent, 8 percent, 6 percent and 5 percent through fiscal 2031, for a compound growth rate of 9.7 percent and fiscal 2031 revenue of $1,171.6 million. Operating margins are held near the prior fiscal year level, rising only from 15.0 percent to 16.5 percent. That path still grows revenue every year, it still leaves Karman a larger company in fiscal 2031 than the guidance implied fiscal 2026 base, and it assumes no lost programme, no contract cancellation and no financing stress. It simply assumes that growth normalises faster than the backlog suggests, that margins do not expand, and that working capital continues to absorb cash as the company grows.

The Bear case matters because it shows how much of the reference price depends on sustained high growth and margin expansion rather than on the contracted base alone. Even a company growing revenue at 9.7 percent a year for five years, with margins held near the prior year level, is worth only $10.49 on our discount rate structure, because the starting price of $36.65 capitalises a far richer future. The Bear case also exposes the leverage in the story. Bridge net debt of $807.335 million sits against trailing operating cash flow of only $5.861 million, and trailing free cash flow is negative $27.671 million, so a slower growth path leaves less internal funding for the capacity and working capital the backlog demands. Debt funded Walker adds to that leverage until the third quarter filing quantifies the new position, and the Bear case is the scenario in which that leverage weighs most heavily on equity value.

We do not present Bear as the likely path. Backlog, bookings and raised guidance all argue against a rapid deceleration to single digit growth, and second quarter operating margin of 19.1 percent already sits above the entire Bear margin path. Bear is the floor that disciplined underwriting requires, and it frames the risk for investors who buy at the reference price. An investor paying $36.65 is paying more than three times the Bear value for a business whose contracted backlog, while record setting, does not by itself guarantee the margin expansion and cash conversion that the price assumes.

Verdict

> **Hold, Valuation Concerns.** Our rating is Hold with valuation concerns, on a blended target of $22.67. The Hold expresses valuation concern, not endorsement, and it must not be read as a Sell or as a statement that the reference price is fair.

The rating follows from a rule chain we apply in order. A Base target within 10 percent of the reference price would support a Hold on proximity alone, but our Base target of $23.76 is 35.2 percent below the $36.65 reference price, so that band does not apply. A Buy requires upside to the Base target, but Base sits below the reference price rather than above it, so no Buy is triggered. A Sell requires overvaluation plus deteriorating fundamentals, and while the model clearly shows overvaluation, with Base 35.2 percent below the reference price, blended 38.2 percent below it and even Bull 10.9 percent below it, the second condition is not met. Fundamentals are accelerating rather than deteriorating, on trailing revenue growth of 50.23 percent, a record backlog of $1,322.124 million, raised fiscal 2026 guidance and a second quarter operating margin of 19.1 percent against a trailing 16.82 percent. Hold is therefore the only rule consistent verdict, and we qualify it as valuation concerns because every scenario sits below the reference price while the business itself is improving.

That combination is unusual and we state it plainly so no reader mistakes our meaning. We are not telling investors the business is broken, and we are not telling investors the shares are cheap. We are telling investors that a good and accelerating business is priced above even a strong operating outcome, and that the prudent course at the reference price is to hold rather than to add or to sell on a deterioration thesis we do not hold. Two events will force us to revisit this verdict. The third quarter print on Thursday November 5, 2026 will show whether second half cash conversion and backlog conversion are tracking the guidance that underpins our fiscal 2026 anchor, and the third quarter filing will quantify the Walker debt position that our published targets currently exclude. Either event could move our targets materially, and both are flagged as monitoring items at the end of this note.

Key themes

The table below carries the themes we track for Karman, with a trend status for each theme that follows directly from the filed record rather than from our scenarios. A theme can be improving on operations and still be negative for the shares at the reference price, and the final row of the table is the clearest example of that distinction.

THEME	TREND STATUS	EVIDENCE IN THE FILED RECORD
Revenue growth	Accelerating	Trailing revenue up 50.23 percent, second quarter revenue up 58.2 percent
Backlog and contracted work	At a record	Backlog $1,322.124 million at June 30, 2026, bookings of nearly $500 million in the second quarter
Operating margins	Improving	Second quarter operating margin 19.1 percent against trailing 16.82 percent
Cash conversion	Negative, guided to improve	Trailing free cash flow negative $27.671 million, second half guide $15 million to $20 million on the second quarter call
Working capital intensity	Elevated	Filed first half incremental absorption of 72.5 percent to 75.0 percent against a level ratio near 40 percent
Balance sheet leverage	Levered, rising with Walker	Bridge net debt $807.335 million at June 30, 2026, before about $100 million of Walker debt funding
Valuation against the model	Above every scenario	Reference price $36.65 against Bull $32.65, Base $23.76 and Bear $10.49

Margin structure deserves emphasis within those themes because it separates Karman from its peers in a way that cuts both ways. Trailing gross margin of 41.67 percent sits above Moog at 28.34 percent, BWX Technologies at 22.08 percent and FTAI Aviation at 32.47 percent, and trailing operating margin of 16.82 percent sits above Moog at 12.14 percent and BWX Technologies at 9.68 percent while sitting below FTAI Aviation at 25.18 percent. That richer gross margin supports operating margins above the Moog and BWX levels in our scenarios, and it also sets a high bar for further expansion, since the Bull terminal margin of 23.0 percent must be earned against a peer set in which only FTAI currently operates above that level. We view the margin advantage as real, grounded in the filed cost structure, and we view further expansion from here as the assumption to test rather than as a given.

Capacity is the second theme to watch inside the growth story. Trailing capital expenditure of $33.532 million is 5.69 percent of trailing revenue, and first half 2026 capital expenditure of $21.865 million is 6.56 percent of first half revenue. Those ratios sit below cash flow depreciation and amortisation, which is a pattern the filed history also shows, and much of that depreciation and amortisation relates to intangible assets that require no replacement capital expenditure. Our forecast therefore keeps capital expenditure below depreciation and amortisation in each forecast year, at 5.7 percent of revenue in Base, 6.0 percent in Bear and 5.5 percent in Bull, and our normalised terminal year sets capital expenditure equal to depreciation and amortisation as a steady state convention. If growth requires heavier physical

capacity spending than the filed pattern suggests, our free cash flow path is optimistic, and that is a risk we carry explicitly rather than one we bury in a margin assumption.

Valuation

Three scenarios make the valuation range explicit

Our scenario range is wide because the business is at an inflection where small changes in growth, margins and working capital compound into large value differences over five years. The table below states each scenario on the same basis, with the same discount rate structure, the same terminal growth rate of 3.0 percent and the same fiscal 2026 anchor of $737.5 million, so the differences across rows reflect operating assumptions only.

Scenario	Weight	Revenue CAGR	FY2031 Revenue	Target	Upside
Bear	25%	9.7%	$1,171.6M	$10.49	-71.4%
Base	50%	18.87%	$1,750.4M	$23.76	-35.2%
Bull	25%	23.4%	$2,109.8M	$32.65	-10.9%
Blended	100%			$22.67	-38.2%

Base is the path we consider most likely. Base revenue grows 28 percent in fiscal 2027, then 22 percent, 18 percent, 15 percent and 12 percent through fiscal 2031, and operating margins expand from 17.5 percent to 21.0 percent across the same period. Fiscal 2027 is a reset year in that path rather than a continuation of guidance margin, since the guidance implied operating margin for fiscal 2026 is about 20.2 percent once adjusted EBITDA guidance is translated into operating terms, while Base fiscal 2027 margin is 17.5 percent. That step down is defensible because the EBITDA guide is an adjusted non-GAAP measure that adds back items such as stock based compensation, and because trailing margin of 16.82 percent and second quarter margin of 19.1 percent bracket the 17.5 percent figure, but readers should not mistake Base fiscal 2027 for a year in which guidance margin simply continues. Base unlevered free cash flow across the forecast is $82.13 million, $126.88 million, $175.42 million, $227.75 million and $278.21 million, a rising path that reflects margin expansion and decelerating growth, partly offset by working capital absorption at 40 percent of each revenue change.

Bear and Bull bracket Base with coherent stories rather than with mechanical haircuts. Bear growth of 18 percent, 12 percent, 8 percent, 6 percent and 5 percent with margins of 15.0 percent, 15.5 percent, 16.0 percent, 16.0 percent and 16.5 percent describes a company whose backlog converts more slowly and whose scale benefits do not arrive. Bull growth of 35 percent, 28 percent, 22 percent, 18 percent and 15 percent with margins of 19.0 percent, 20.0 percent, 21.0 percent, 22.0 percent and 23.0 percent describes a company that converts its record backlog at pace, expands capacity efficiently and holds pricing power in its programmes.

The blended target of $22.67 weights Bear at 25 percent, Base at 50 percent and Bull at 25 percent, which is the house convention of one Bear plus two Base plus one Bull divided by four. At the reference price of $36.65, market capitalisation is $4.86 billion on 132,533,708 shares outstanding from the Form 10-Q cover at August 3, 2026, and the 52 week range of $29.34 to $118.38 shows how far the shares have already travelled from their highs before this note was written.

Valuation framework

Our discount rate is live rather than fixed, and it falls over the forecast as the company matures in our assumptions. The table below states the beta and the discount rate for each forecast year on the audit legs, with a 10 year yield of 4.978 percent and an implied equity risk premium of 3.717 percent at the audited read-back, when the S and P 500 stood at 7,678.97. Those legs move with the market, so our targets move with them, and the live target disclaimer at the end of this note governs how readers should use the figures.

FORECAST YEAR	BETA	DISCOUNT RATE
FY2027	2.397	12.53%
FY2028	2.043	11.41%
FY2029	1.688	10.29%
FY2030	1.334	9.17%
FY2031	0.979	8.05%

Beta starts at 2.397, which is the Finnhub figure retrieved on October 26, 2026 and corroborated by a MarketChameleon figure of 2.42 and our own 52 week regression of 2.31, and it decays linearly toward 0.979, which is the Finnhub beta of Moog, a mature peer in the same aerospace and defense components industry. That decay is the single largest judgment in the model after terminal value itself, and we quantify its leverage in the disclosures section rather than asking readers to accept it on faith. The pre-tax cost of debt is 6.175 percent, built from a one month CME Term SOFR rate of 3.925 percent on October 23, 2026 plus a spread of 2.25 percent, which is the margin set by the Fifth Amendment to the credit agreement dated August 3, 2026, down from 2.75 percent previously. The tax rate is 22 percent, which rounds the first half 2026 effective rate of 21.8 percent from the filing. Terminal growth is 3.0 percent in every scenario, which is the house cap, and terminal value is struck at the terminal year discount rate on a normalised fiscal 2032 year in which revenue grows 3.0 percent, margin is held flat at the fiscal 2031 level and capital expenditure equals depreciation and amortisation.

Bridge ratios are stated here so readers can see exactly what the forecast assumes. Depreciation and amortisation are 9.5 percent of revenue in Base, 10.0 percent in Bear and 9.0

percent in Bull. Capital expenditure is 5.7 percent of revenue in Base, 6.0 percent in Bear and 5.5 percent in Bull. Working capital absorption is 40 percent of each revenue change in every scenario, which we present as a normalisation judgment rather than as a filed rate, for reasons set out in the disclosures section. Stock based compensation of $1.444 million in the first half of 2026, which is 0.4 percent of revenue, is excluded as immaterial. The fiscal 2026 anchor of $737.5 million is the midpoint of raised guidance, not reported revenue, and the guide low of $730 million would give a Base target of $23.45 while the guide high of $745 million would give a Base target of $24.05, so the anchor choice moves Base by about $0.60 across the full guidance range and changes no rating.

Audit disclosures and sensitivities

This section carries every disclosure our forensic audit required before this note could be written. Readers who want only the rating and the targets can stop at the verdict section. Readers who want to test our targets should start here, because this section states where our model is most fragile and by how much each fragile assumption moves value.

Terminal value concentration

Terminal value dominates our enterprise value in every scenario, at 78.1 percent in Bear, 84.3 percent in Base and 86.3 percent in Bull. That concentration is normal for a growth company valued over five explicit years, and it means our targets are driven more by what we assume about the indefinite future than by the five forecast years themselves. In Base, only a minority of enterprise value comes from the explicit forecast period, so readers should treat our targets as terminal value judgments disciplined by a forecast, not as forecast outputs with a small terminal addition. The sensitivities below move only the terminal discount rate or the terminal growth rate, holding the forecast years fixed, and they show how wide the honest range around Base really is.

BASE SENSITIVITY	CHANGED ASSUMPTION	BASE TARGET
Terminal discount rate down 100 basis points	7.05%	$29.96
Model terminal discount rate	8.05%	$23.76
Terminal discount rate up 100 basis points	9.05%	$19.59
Terminal growth 2.0%	2.0%	$19.91
Terminal growth 2.5%	2.5%	$21.66
Terminal growth 3.0 percent, model	3.0%	$23.76
Terminal growth 3.5 percent, initiating note rate, not used	3.5%	$26.30
Terminal margin at trailing 16.82%	16.82%	$18.36

The terminal margin sensitivity deserves a sentence of its own. Our normalised terminal year holds margin flat at the peak fiscal 2031 margin, which is 21.0 percent in Base, so it capitalises peak profitability indefinitely. That mechanics is steady state in growth, capital expenditure and working capital, but it is optimistic in margin, and we do not describe the normalised year as conservative. If the terminal margin reverted to the trailing operating margin of 16.82 percent, Base would fall to $18.36, which is $5.40 below our published Base target. Even the most generous sensitivity in the table above, a terminal discount rate 100 basis points lower than modelled, lifts Base only to $29.96, which remains below the $36.65 reference price. No terminal value sensitivity we tested rescues the reference price, and that robustness is part of why the Hold with valuation concerns stands.

Working capital normalisation

Our working capital assumption of 40 percent of each revenue change is a normalisation judgment, and we label it as such because the filed record supports it on one measure and contradicts it on another. The filed level ratio supports 40 percent, since operating working capital was $239.970 million at June 30, 2026, which is 40.7 percent of trailing revenue, and $184.128 million at December 31, 2025, which is 39.1 percent of fiscal 2025 revenue. The filed incremental ratio does not support 40 percent, since the balance sheet working capital change in the first half of 2026 was $55.842 million on revenue growth of $76.994 million, which is 72.5 percent, and the cash flow statement working capital outflow net of acquisitions was $57.745 million, which is 75.0 percent of that growth. Contract heavy defense revenue mechanically absorbs working capital as it grows, and management second half free cash flow guidance implies normalisation, but readers should understand that 40 percent assumes the first half spike does not persist at its filed rate.

WORKING CAPITAL ASSUMPTION	BEAR	BASE	BULL	BLENDED
30%	$11.06	$24.80	$33.98	$23.66
40 percent, model	$10.49	$23.76	$32.65	$22.67
50%	$9.92	$22.70	$31.30	$21.66
60%	$9.34	$21.66	$29.96	$20.65
72.5 percent, filed first half balance sheet incremental	$8.62	$20.35	$28.28	$19.40
75.0 percent, filed first half cash flow incremental	$8.48	$20.09	$27.95	$19.15

The robustness result in that table matters for the rating. No working capital variant changes the verdict, since even at a 30 percent assumption Bull reaches only $33.98 and stays below the $36.65 reference price, and even at a 75.0 percent assumption Bear stays positive at $8.48 with the scenario ordering unchanged. Working capital is therefore a genuine value uncertainty of about $3.41 to $3.67 on Base at the filed incremental rates, and it is not a rating uncertainty. Investors who believe the first half absorption rate persists should use Base of about $20.09 to $20.35 rather than $23.76, and they will still reach our Hold with valuation concerns.

Beta decay leverage

Beta decay is the second large judgment after terminal value, and its leverage is larger than most readers will expect. Our model decays beta linearly from 2.397 to the Moog endpoint of 0.979 across the forecast, which sits between two bounds that frame the assumption honestly. If beta stayed flat at 2.397 with no decay, Base would be $10.42. If beta decayed instantly to 0.979, Base would be $26.88. If beta decayed instead toward BWX Technologies at 0.718, Base would be $29.28. Roughly $13 of the Base target therefore rides on the speed and the endpoint of beta decay, and no reader should treat $23.76 as precise to the dollar when the discount rate path alone can move it across a range from $10.42 to $29.28. We chose the linear path to Moog because Moog is a mature peer in the same industry with lower leverage and a long listing history, and because a gradual decay matches a company that is scaling rapidly but has not yet earned a mature risk profile. Even the most generous beta variant in this paragraph, decay toward BWX Technologies at $29.28, remains below the $36.65 reference price, so beta decay is a value uncertainty and not a rating uncertainty either.

Walker Precision limitation

Our published targets use filed debt at June 30, 2026 only, and they therefore overstate equity value before any Walker earnings contribution. Walker Precision Engineering is a Glasgow based maker of precision engineered components and integrated manufacturing solutions supporting missile seekers, guidance systems and control systems, with a presence in Scotland, England

and Poland and a role in more than 25 European tactical missile and air defence programmes. Karman agreed to acquire Walker on July 20, 2026 for about $94 million in cash and completed the acquisition on August 28, 2026, funded through increased term loan borrowings, and the business was renamed Karman Space and Defense, Europe. Secondary sources put the term loan increase at about $100 million, which is about $0.75 per share on 132,533,708 shares. Applied illustratively and not to the model, that adjustment would give Bear $9.73, Base $23.00, Bull $31.89 and blended $21.91. We have not adjusted the published targets for Walker, because no third quarter filing exists yet to support an exact debt and cash figure, and inventing an adjustment would be worse than disclosing an approximate one. The limitation does not change the rating, since every illustrative target remains below the reference price, and the correct remedy is a re-run when the third quarter filing lands.

Reverse discounted cash flow

The reverse analysis asks what growth the reference price already assumes, holding our Base margins and our discount rate structure fixed, and the answer corroborates overvaluation rather than rescuing the price. At the $36.65 reference price, the market implies a uniform revenue growth rate of 29.2 percent a year from the fiscal 2026 anchor to fiscal 2031, reaching fiscal 2031 revenue of about $2,658 million. That implied rate sits above even the Bull case growth rate of 23.4 percent, by about 5.8 percentage points of annual growth, and the implied fiscal 2031 revenue is 3.6 times fiscal 2026 estimated revenue and 2.0 times the record backlog of $1,322.124 million. At a 25 percent growth rate our model gives $30.73, and at a 30 percent growth rate it gives $37.81, which brackets the reference price consistently with the 29.2 percent solve. Trailing growth of 50.23 percent and second quarter growth of 58.2 percent make a 29.2 percent forward rate look less heroic than it would for a mature grower, but guidance disciplines that reading, since fiscal 2026 guidance already implies growth of 56.4 percent over fiscal 2025 revenue of $471.5 million and 25.1 percent over trailing revenue of $589.552 million, so the market path requires Karman to compound at roughly the trailing rate for five more years off an already elevated fiscal 2026 base. One asymmetry qualifies the result. The reverse analysis holds Base margins, so if the market is also pricing margin expansion beyond Base toward Bull margins, the implied revenue growth rate would be somewhat lower than 29.2 percent. The 29.2 percent figure is therefore conditional on Base margins, not absolute, and we state that condition rather than presenting the solve as a fact about the market alone.

Methodology notes

We discount cash flows at each year end rather than at midyear, and we state that convention here because it was not stated on the model tabs. Midyear discounting would lift Base by about $1.22 to $24.97, so our year end convention is conservative in direction and changes no rating. Our bridge excludes operating lease liabilities of $16.189 million from debt by the house definition, using term note debt plus finance leases less cash, and including operating leases

would cut targets by $0.12 per share, giving Base of $23.63 on an all in net debt of $823.524 million. Our fiscal 2026 anchor is guidance, not reported revenue, and the sensitivity across the guidance range is stated in the valuation framework section. Our forecast capital expenditure sits below depreciation and amortisation in every forecast year, which matches filed history and reflects intangible amortisation that requires no replacement spending, while our normalised terminal year sets capital expenditure equal to depreciation and amortisation. Our targets are stated as of the audited read-back on October 26, 2026 at about 10:50 in the morning Pacific time, with a 10 year yield of 4.978 percent, an implied equity risk premium of 3.717 percent and the S and P 500 at 7,678.97, against a reference price frozen at the Friday October 23, 2026 close of $36.65.

Other key performance indicators

The tables below collect the filed figures that anchor this note, so readers can check our narrative against the record without returning to the filing. Trailing figures are sums of the four quarters from the third quarter of 2025 through the second quarter of 2026, and peer figures are trailing figures to June 30, 2026 on the same quarterly sum basis.

KARMAN TRAILING MEASURE	VALUE
Revenue	$589.552M
Gross profit	$245.653M
Operating income	$99.156M
Net income	$37.183M
Operating cash flow	$5.861M
Capital expenditure	$33.532M
Free cash flow	-$27.671M
Gross margin	41.67%
Operating margin	16.82%
Net margin	6.31%

PEER TRAILING MARGINS	GROSS MARGIN	OPERATING MARGIN	NET MARGIN
Karman Holdings	41.67%	16.82%	6.31%
Moog (MOG.A)	28.34%	12.14%	8.79%
BWX Technologies (BWXT)	22.08%	9.68%	10.11%
FTAI Aviation (FTAI)	32.47%	25.18%	15.94%

The peer table carries a lesson about margin quality that our scenarios respect. Karman earns the richest gross margin in the set by a wide margin, yet its net margin of 6.31 percent is the lowest in the set, which tells us that operating leverage and below the line costs, including interest on a levered balance sheet and tax, absorb much of the gross advantage before it reaches shareholders. Moog converts a 28.34 percent gross margin into an 8.79 percent net margin, BWX Technologies converts a 22.08 percent gross margin into a 10.11 percent net margin, and FTAI Aviation converts a 32.47 percent gross margin into a 15.94 percent net margin. Karman must therefore expand operating margin and convert operating profit into cash before its gross margin advantage becomes a shareholder return advantage, and our Base path, which expands operating margin from 17.5 percent to 21.0 percent, assumes that conversion happens gradually rather than immediately.

BALANCE SHEET AT JUNE 30, 2026	VALUE
Cash and cash equivalents	$51.741M
Current marketable securities	None disclosed
Term note, current portion	$5.610M
Term note, long term	$751.327M
Term note debt, total	$756.937M
Finance lease liabilities, total	$102.139M
Operating lease liabilities, total	$16.189M
Total debt including all leases	$875.265M
Bridge debt, term note plus finance leases	$859.076M
Bridge net debt, less cash	$807.335M
All in net debt, including operating leases	$823.524M
Shares outstanding, Form 10-Q cover at August 3, 2026	132,533,708

Karman is in a net debt position on every definition in that table, and readers should disregard any characterisation of the company as holding a net cash position, since no filing supports one. Cash of $51.741 million is the filed June 30, 2026 balance, current marketable securities are not disclosed on the balance sheet, and total debt including all leases of $875.265 million is the all in figure that reconciles to the enterprise value arithmetic in earlier coverage. Our bridge uses $807.335 million, which is term note debt plus finance leases less cash, and we disclose the all in alternative of $823.524 million alongside it so readers can see the $0.12 per share effect of the lease definition. The share count we use is the cover count of 132,533,708, which differs from the second quarter diluted weighted average of 132,531,000 by only 2,708 shares, an immaterial difference of less than $0.01 per share.

Guidance

Management raised fiscal 2026 guidance with the second quarter results on August 6, 2026, and that raised guidance is the anchor for our entire forecast, so we state it exactly and we state what it excludes.

FISCAL 2026 GUIDANCE, RAISED AUGUST 6, 2026	RANGE
Revenue	$730M to $745M
Adjusted EBITDA, non-GAAP	$215.0M to $222.5M
Revenue midpoint, our fiscal 2026 anchor	$737.5M
Adjusted EBITDA midpoint	$218.75M

Guidance explicitly excludes future acquisitions, so it excludes Walker, which closed after the guide, and our fiscal 2026 anchor of $737.5 million likewise excludes Walker. Revenue guidance at the midpoint implies growth of 56.4 percent over fiscal 2025 revenue of $471.5 million and 25.1 percent over trailing revenue of $589.552 million, with about 95 percent visibility from backlog as characterised on the second quarter call. Adjusted EBITDA guidance at the midpoint of $218.75 million is 29.66 percent of the revenue midpoint, and it is a non-GAAP measure that we use as a cross check only, not as an operating profit input. No guidance was given in GAAP operating margin terms, so any translation from EBITDA guidance into an operating margin near 20.2 percent is our arithmetic, labelled as such, and not a company forecast.

Two further call remarks frame the second half test, and we flag their status carefully because they come from second quarter call remarks reported in transcript summaries rather than from the press release headline. Management guided on the call to second half free cash flow of $15 million to $20 million, and management described a long term free cash flow ambition of 80 percent to 90 percent of net income, which we treat as an aspiration rather than as guidance. Call remarks also described organic growth for 2026 of more than 25 percent with a third quarter to fourth quarter revenue split of about 47 percent to 53 percent. If second half free

cash flow lands in the guided range, it will support our working capital normalisation judgment and our Base cash flow path. If it does not, the working capital sensitivity in this note, with Base at $20.35 on the filed balance sheet incremental rate and $20.09 on the filed cash flow incremental rate, becomes the more honest starting point for valuation, and still leaves our rating unchanged.

Risks and strengths

The bear case in risk form

Working capital absorption is the most immediate risk, because contract assets of the kind Karman carries build before invoicing and the filed first half incremental rate of 72.5 percent to 75.0 percent would cut Base to about $20.09 to $20.35 if it persisted. Leverage is the second risk, because bridge net debt of $807.335 million plus about $100 million of Walker debt funding sits against trailing operating cash flow of only $5.861 million, so the company must convert backlog into cash before growth funding becomes self sustaining. Terminal value concentration is the third risk, because 84.3 percent of Base enterprise value sits in the terminal value, so a 100 basis point rise in the terminal discount rate cuts Base to $19.59 and a reversion of terminal margin to the trailing 16.82 percent cuts Base to $18.36. Programme concentration and contract execution risk sit behind those numbers, since backlog is valuable only to the extent that programmes convert on schedule and at the margins our scenarios assume, and any slippage in conversion would hit growth, working capital and margins together rather than one at a time.

The strengths

Contracted visibility is the clearest strength, with backlog of $1,322.124 million, remaining performance obligations of $703.9 million and second quarter bookings of nearly $500 million giving Karman a contracted runway that few growth companies enjoy. Margin structure is the second strength, with a trailing gross margin of 41.67 percent that exceeds every peer in our set and a second quarter operating margin of 19.1 percent that shows scale benefits arriving in the latest quarter. Strategic positioning is the third strength, since Walker adds a European footprint in missile seeker, guidance and control programmes across Scotland, England and Poland, broadening Karman from a domestic supplier into a supplier with a role in more than 25 European tactical missile and air defence programmes. Guidance credibility is the fourth strength, since management raised fiscal 2026 guidance to revenue of $730 million to $745 million with backlog visibility behind it, rather than guiding on uncontracted demand. None of those strengths changes the valuation conclusion at the reference price, and we list them here so readers can see that our Hold rests on price rather than on doubt about the business.

What we monitor

- We watch the third quarter print on Thursday November 5, 2026 for revenue, margins and cash conversion against the second half free cash flow guide of $15 million to $20 million.
- We watch the third quarter filing for the Walker debt and cash position, so our bridge can move from filed June 30, 2026 debt to a current debt figure and our illustrative $0.75 per share adjustment can be replaced with a filed number.
- We watch working capital absorption in the third quarter against the 40 percent normalisation assumption and the filed first half incremental rates of 72.5 percent and 75.0 percent.
- We watch backlog conversion and bookings against the record backlog of $1,322.124 million, since conversion pace decides whether Bull growth of 23.4 percent or Base growth of 18.87 percent is the live path.
- We watch any update to fiscal 2026 guidance, since the guide low of $730 million and the guide high of $745 million bound our Base anchor sensitivity at $23.45 to $24.05.

> Our read is that Karman is a good business at a demanding price. We hold the shares with valuation concerns, on a blended target of $22.67 against a reference price of $36.65, and we wait for the third quarter print and the Walker filing to tell us whether cash conversion and the debt position justify revisiting that stance.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Disclosures and live target notice

Targets in this note are computed model outputs as of the stated market legs and the October 23, 2026 close, and they will move with live inputs. The audited read-back for this note was October 26, 2026 at about 10:50 in the morning Pacific time, with the S and P 500 at 7,678.97, the 10 year yield at 4.978 percent and the implied equity risk premium at 3.717 percent, and the reference price is frozen at the Friday October 23, 2026 close of $36.65. Later market moves in the live legs will move the targets by cents in either direction, and a later close will move the reference price itself, so readers should treat $10.49, $23.76, $32.65 and $22.67 as outputs at a stated moment rather than as fixed price objectives. Our rating is Hold with valuation concerns, and every rating display in this note reads Hold, because the model prices every scenario below the reference price while fundamentals accelerate, so the rating expresses valuation concern without a deterioration call and without endorsing the reference price as fair.

This document is for institutional clients only and does not constitute investment advice. Past performance does not guarantee future results. Cascadia Analytics may hold positions in the securities mentioned. Figures in this note are drawn from the Form 10-Q for the period ended June 30, 2026, the second quarter 2026 press release and call of August 6, 2026, the Walker

completion announcement of August 28, 2026, and the audited discounted cash flow workbook described in this note, with peer figures from trailing quarterly sums to June 30, 2026. The next earnings date of Thursday November 5, 2026 is sourced from the Yahoo Finance calendar only, and no company issued third quarter date was found in a filing at the time of writing, so readers should confirm that date against the company investor calendar before relying on it.